Business valuation report

Tax year 2027 | Valuation date 2026-03-15

Estate reference	EST-2026-0002
Deceased estate	GINGER
Executor	NCUBE
Subject	PRIUUUU
Concluded value	R 15 900 000,00
Weighted average	R 15 891 055,64

Executive summary

The concluded value reflects a weighted reconciliation of DCF, maintainable earnings, and adjusted NAV based on their relevance and reliability.

Purpose, scope and mandate

The executor engaged the valuer to determine the fair market value of the deceased's interest in PRIUUUU as at 2026-03-15 for estate administration, SARS income-tax disclosure, CGT-on-death support, and estate-duty reporting.

Definition of value	The standard of value applied is fair market value, being the price a willing buyer would pay a willing seller, both reasonably informed and neither under compulsion.
Effective valuation date	2026-03-15

Sources of information

- Annual financial statements for FY2023 to FY2025
- Management accounts to valuation date
- Fixed asset register
- Debtor and creditor age analysis
- Industry reports and market data

Limitations and assumptions

- The valuation relies on information supplied by the executor, management, and available estate records.
- No allowance has been made for changes in legislation, market conditions, or trading performance after the valuation date unless specifically noted.
- This report is not a fairness opinion or due diligence engagement.

Company overview

Legal name	PRIUUUU
Registration number	Not supplied

Industry	**Not supplied**
Tax reference	**Not supplied**
VAT number	**Not supplied**
Employee count	**Not supplied**

PRIUUUU has been assessed as a private company interest. The valuation considers enterprise value, equity bridge adjustments, and the shareholding interest held by the deceased at the effective valuation date.

Economic and industry context

The valuation considers South African macroeconomic conditions at the valuation date, including the interest-rate environment, inflation expectations, and the trading outlook relevant to the subject business.

The subject industry was assessed with reference to sector demand, operating risks, competitive dynamics, and available market evidence relevant to private-business valuation in South Africa.

Key value drivers	**Established trading history and identifiable earnings capacity, Asset backing and working-capital support, Existing customer relationships and operational capability**
Key risks	**Key-person dependency and succession execution risk, Marketability limitations associated with private-business interests, Macroeconomic volatility and sector-specific operating cost pressure**

Historical financial analysis

Period	Revenue	EBITDA	EBIT	NPAT
FY2023	R 18 450 000,00	R 3 500 000,00	R 3 050 000,00	R 2 022 000,00
FY2024	R 21 200 000,00	R 4 350 000,00	R 3 850 000,00	R 2 635 000,00
FY2025	R 24 600 000,00	R 5 300 000,00	R 4 750 000,00	R 3 321 000,00

Valuation methodology selection

The valuation applies the selected methodologies (discounted cash flow, maintainable earnings, net asset value) to triangulate a defensible fair market value using income-based and asset-based indicators relevant to the subject business.

Discounted cash flow (DCF)

Enterprise value	**R 24 010 457,75**
WACC	**20,00%**
Adopted terminal value	**R 32 127 213,25**
Indicated value	**R 21 003 889,09**

Period	FCFF	Discount factor	Present value
FY2026	R 3 200 000,00	0,8320	R 2 662 456,66
FY2027	R 3 578 500,00	0,6923	R 2 477 229,01
FY2028	R 3 927 000,00	0,5760	R 2 261 822,95
FY2029	R 4 202 500,00	0,4792	R 2 013 900,43
FY2030	R 4 478 000,00	0,3987	R 1 785 446,87

Maintainable earnings

Maintainable earnings	**R 2 650 000,00**
Selected multiple	**4.8**
Indicated value	**R 12 720 000,00**

Adjusted net asset value

Adjusted assets	**R 15 550 000,00**
Adjusted liabilities	**R 3 400 000,00**
Indicated value	**R 12 150 000,00**

Valuation conclusion and reconciliation

Method	Indicated value	Weight	Weighted value
Discounted cash flow (DCF)	R 21 003 889,09	40,00%	R 8 401 555,64
Maintainable Earnings	R 12 720 000,00	35,00%	R 4 452 000,00
Net asset value (NAV)	R 12 150 000,00	25,00%	R 3 037 500,00

The concluded value reflects a weighted reconciliation of DCF, maintainable earnings, and adjusted NAV based on their relevance and reliability.

Sensitivity analysis

Scenario	WACC	Growth	P/E multiple	Indicated value
Bear case	22,00%	3,00%	4,3	R 13 515 000,00
Base case	20,00%	5,00%	4,8	R 15 900 000,00
Bull case	19,00%	6,00%	5,3	R 18 285 000,00

Tax implications for the deceased estate

CGT deemed proceeds	**R 15 900 000,00**
Taxable capital gain	**R 6 240 000,00**
Gross estate	**R 15 900 000,00**

Dutiable estate	**R 12 400 000,00**
Estate duty payable	**R 2 480 000,00**

- Section 9HA rollover may defer the immediate CGT charge where the asset accrues to a surviving spouse.
- For a company shareholding, the valuation supports the deceased's final ITR12, CGT disclosure, estate duty, and L&D account evidence.

Section 9HA rollover considerations

Section 9HA rollover may defer the immediate CGT charge where the asset accrues to a surviving spouse. For a company shareholding, the valuation supports the deceased's final ITR12, CGT disclosure, estate duty, and L&D account evidence.

SARS valuation support pack

Support documents on file

Latest AFS on file	**Yes**
Prior year AFS on file	**Yes**
Two years prior AFS on file	**Yes**
Executor authority on file	**Yes**
Acquisition documents on file	**Yes**
REV246 required	**No**
REV246 included	**No**
Patent valuation required	**No**
Patent valuation included	**No**

Key assumptions

- Management representations and estate records provided.
- Business assumed to continue as a going concern.
- No post-valuation-date legislative changes reflected.

Qualifications, disclaimers and representations

- This valuation report has been prepared solely for the estate-administration and SARS-compliance purposes stated in the report.
- The valuer has relied on information supplied by the executor and available records without performing a full audit of that information.
- Actual realizable values may differ from this estimate depending on transaction timing, negotiation dynamics, and post-valuation-date events.
- SARS may challenge the valuation and substitute its own determination of market value.

Report notes

Prepared for EST-2026-0002 to support the estate file.

Appendices

Appendix A: WACC Calculation Detail	Supporting assumptions and calculations used in the DCF discount-rate build-up.
Appendix B: Supporting Financial Information	Historical financial statements, management accounts, and supporting schedules referenced in the valuation.
Appendix C: Asset and Liability Support	Asset-register extracts, external valuations, and relevant working papers for NAV adjustments.

Glossary of terms

DCF	Discounted cash flow valuation based on projected future cash flows.
NAV	Net asset value based on adjusted fair values of assets and liabilities.
WACC	Weighted Average Cost of Capital used to discount future cash flows.
CGT	Capital Gains Tax under the Eighth Schedule to the Income Tax Act.
Section 9HA	Income-tax rollover provision applicable on death in qualifying cases.

Sign-off

Prepared by:	______________________________
Accepted by (Executor):	______________________________